# Agilent Technologies First Quarter Fiscal 2025 Conference Call Prepared Remarks

## Parmeet Ahuja, Vice President, Investor Relations

Thank you, and welcome everyone to Agilent's conference call for the first quarter of fiscal year 2025. With me are Padraig McDonnell, Agilent president and CEO, and Bob McMahon, Agilent senior vice president and CFO.

Joining in the Q&A will be:

Simon May, president of the Life Sciences and Diagnostics Markets Group.

Angelica Riemann, president of the Agilent CrossLab Group.

And Mike Zhang, president of the Applied Markets Group.

This presentation is being webcast live. The press release for our first-quarter financial results, investor presentation, and information to supplement today's discussion — along with a recording of this webcast — are available on our website at investor.agilent.com.

Today's comments will refer to non-GAAP financial measures. You'll find the most directly comparable GAAP financial metrics and reconciliations on our website.

Unless otherwise noted, all references to increases or decreases in financial metrics are year-over-year and references to revenue growth are on a core basis. Core revenue growth excludes the impact of currency, and any acquisitions and divestitures completed within the past 12 months. Guidance is based on forecasted exchange rates.

As a reminder, beginning in the first quarter of fiscal 2025, we implemented certain changes to our reporting structure related to reorganization of our three businesses segments. We have recast our historical segment information to reflect these changes and have provided the financial details on our website. These changes have no impact on our company's consolidated financial statements.

During this call we will also make forward-looking statements about the financial performance of the company. These statements are subject to risks and uncertainties and are only valid as of today. The company assumes no obligation to update them. Please look at the company's recent SEC filings for a more complete picture of our risks and other factors.

And now, I'd like to turn the call over to Padraig.

## Padraig McDonnell, President and CEO

Thank you, Parmeet. And thanks to all of you for joining today's call.

As you saw in our press release, we had a very solid start to the year, exceeding our expectations for core revenue growth and EPS.

Before diving into the details, I want to first follow up on conversations I had with many of you starting at our Analyst and Investor Day in December at the New York Stock Exchange and provide an update on progress of our Ignite Transformation.

We've stated that Ignite is for our customers, employees, and shareholders.

For customers, we want to create a seamless experience across Agilent products, software, and services.

For our employees, we want to become nimbler and reduce complexity to enhance our ability to serve our customers.

And for shareholders, we want to deliver industry-leading shareholder value through differentiated growth.

We have set targets to grow core revenues between 5 and 7 percent annually, expand our operating margin by 50 to 100-plus basis points per year, and deliver double-digit EPS growth.

Right now, I want to share three notable accomplishments from the Ignite Transformation that focus on setting a new pricing mechanisms, elevating our digital ecosystem, and identifying procurement opportunities.

First, the creation of an Enterprise strategic-pricing organization that will focus on setting our standard approach for pricing across the entire solution set with the customer — and not just at a tactical bottoms-up product level.

Second, our digital ecosystem — a critical enabler in our evolved strategy we unveiled at Investor Day — continues to be a key area of investment for us. Already, we have made meaningful improvements to our website, upgrading the user experience on our e-commerce platform by making it easier to find and purchase the products our customers need, helping driving topline growth.  In Q1, our progress continued with digital orders growing high single digits.

And third, our procurement teams have challenged our historical approach and are identifying significant cost-savings opportunities in many of Agilent's functions.

Also related to our Ignite Transformation, we're assessing our organizational health.

On my first day as CEO, I promised our employees we would become a nimbler organization to make decisions faster and accelerate innovation in service of our customers.

As a result, we are removing some management layers and increasing spans of control.

This is a continuation of our new organizational structure we announced in late November. Through that reorganization, we're seeing our business leaders in lockstep on our strategy and transformation. This alignment enables us to make business decisions faster on priorities and trade-offs. As my leadership team and I look forward, we are focused on growing Agilent.

A foundational element of growth is innovation — innovation that our customers want.

Every time I visit a customer in any part of the world, they say the same thing: They want to partner with Agilent — for better outcomes. That's what differentiates Agilent: the deep scientific knowledge of our customer-facing team members that our competitors simply can't duplicate.

Customers want everything from the ability to parse massive amounts of data in seconds, to automating more tasks so they can focus on complex scientific challenges. In essence, they want to increase their productivity.

That's why driving lab productivity is among our key priorities.

You can see evidence of this in our collaborative agreement with Zurich-based ABB Robotics to produce automated laboratory solutions — ones that will help our customers find new ways of improved workflows and make operations more efficient and flexible. These are customers across multiple markets, including pharma, biotech, energy, and food. Together with ABB, Agilent can transform the customer lab operations by making workflow processes for research, development, and quality control faster and more efficient. The goal is for all instruments, robots, and software be interoperable, which is crucial to significantly boosting productivity for our customers.

Our customers want to buy whole-product solutions — not just a single instrument. To illustrate that, our Infinity III Series that we introduced in October has seen great adoption from all our customers.

As a reminder, the Infinity III has an advanced automation that simplifies our customers' daily routines and is compatible with previous generations, which allows for seamless upgrades and technology refreshes. And that has become a differentiator.

Customers are saying that the backward compatibility — combined with the modularity of Agilent systems — allows them to decide how to upgrade and refresh their instruments. Plus, they're telling us that they're choosing Agilent because of our longstanding quality and technology leadership that's been further enforced with the Infinity III.

And Agilent InfinityLab LC Solutions are certified by My Green Lab. These instruments optimize lab space; and they reduce water, solvent, and energy consumption while also minimizing waste. We continue to see strong momentum and growth in our sales funnel for the Infinity III because of its advanced automation that empowers our customers to be more productive and because of InfinityLab Assist, our automation software that provides on-board intelligence.

So, our customers are not simply buying a platform, but a whole-product solution.

Just as exciting is that the great success of our Infinity III provides Agilent an incredible opportunity for us to upgrade our customers' instruments. And it's already happening across our legacy LC platforms, representing an opportunity in the hundreds of millions of dollars over the coming years.

Now, I'd like to highlight some key aspects of our Q1 results.

As you can see from our press release, we drove top-line year-over-year growth while macro market trends, such as Capex spending, continue to improve.

Our revenue of 1.681 billion dollars increased 1 percent over the same quarter in FY24. This result exceeded our expectations and was led by excellent growth in PFAS and capturing an outsized share of the China stimulus awards.

Our instrument book-to-bill was greater than one in Q1, a quarter when it's typically less than one. This is another sign of market recovery, but more importantly, it's a testament to our intense customer focus with products such as the highly successful Infinity III and our success driving our market-leading position in China.

Additionally, we exceeded expectations in all regions and end markets except for Academia and Government.

In our end markets, revenue was led by Food, which grew 9 percent driven by our success in capturing stimulus orders in China. In China, our accelerating share gains were apparent in recording a win rate of more than 50 percent on stimulus-related tenders. With our long history in the region elevated by our local manufacturing capabilities, we are well-positioned to expand our market leadership in China.

Now let me talk about our businesses and some growth vectors in each.

Our Life Sciences and Diagnostics Markets Group grew 1 percent in the quarter, reporting 647 million dollars. Performance was driven by a nice result in our LC and LC/MS instruments, which grew high single digits during the quarter — on the heels of our Infinity III launch.

Within LDG, we remain focused on the integration of BIOVECTRA and we are delighted by the response we're hearing from our existing and potential customers who are interested in leveraging BIOVECTRA's unique capabilities and Agilent's expertise.

It's clear that BIOVECTRA's capabilities are in the sweet spot of tremendous markets with a terrific growth potential.

The Agilent CrossLab Group grew 3 percent, reporting 696 million dollars, which was in line with our expectations, led by services.

We are especially excited about the new ACG that now includes services, automation, consumables, and software and informatics.

Software and informatics are among our key priorities, and we've had an overwhelmingly positive response to both our InfinityLab Assist automation software and our OpenLab CDS.

The InfinityLab Assist automation software offers remote notifications, troubleshootings, diagnostics, and maintenance that paves the way for a fully automated, digital lab. And our OpenLab CDS provides time-saving steps in analysis, interpretation, and reporting workflows while technical controls ensure work quality, effective records management, and enhanced data security.

In short: Software is an incredible area of opportunity for us that we are poised to capitalize upon.

Already, customers are telling us that InfinityLab Assist and OpenLab offer differentiated functionality and solutions in high-throughput environments.

Our Applied Markets Group reported 338 million dollars in the quarter, a 2 percent decline — better than expected related to a strong China-stimulus orders. We are very pleased with our team's ability to compete and win these tenders.

We continue to invest in the Applied Markets for next-generation technology innovation and, as I said, support our customers with lab productivity. Every customer we meet has expressed a desire to partner with Agilent to make better use of their instrument fleets to integrate with front-end solutions. And we're happy to help them find ways to create customized solutions so they can deliver products faster.

Before I hand over to Bob, I want to address topics that have been in the news of late.

Regarding the recent news around tariffs, we have a diversified supply chain with a manufacturing presence in all major regions of the world. Our teams already are taking action to mitigate the impacts on our business.

In terms of potential reductions to NIH funding, as we've shared with you before, our exposure to NIH-related programs is limited to around 1 percent of our revenue. We currently believe the forecasted impact is manageable within our current guidance.

Bob will now delve deeper on our Q1 results, as well as our outlook for Q2.

After Bob delivers his comments, I will be back for some closing remarks.

Bob?

## Bob McMahon, Chief Financial Officer

Thanks Padraig, and good afternoon, everyone.

In my remarks today, I will provide some additional details on revenue in the quarter, as well as take you through the income statement and other key financial metrics.

I'll then cover our updated full-year and second-quarter guidance.

As Padraig mentioned, Q1 revenue was 1.68 billion dollars, just above the top end of guidance despite the strengthening of the U.S. dollar during the quarter.

On a core basis, we posted growth of 1.2 percent, beating expectations. Adjusting for the timing of Lunar New Year impacts, core growth is estimated to be just over 3 percent.

On a reported basis, growth was 1.4 percent. Currency had a negative impact of 1.4 percentage points, which was over 1 percentage point higher than estimated at the start of the quarter. And M&A contributed 1.6 percent.

Padraig already discussed our business-group results, so I'll focus on deeper details about our end markets.

We exceeded expectations in all of our end markets except for our smallest one: Academia and Government.

Our business in the Food market grew 9 percent, benefiting from our excellent performance in China's national stimulus program.

In Environmental and Forensics, we grew 6 percent as we continue to leverage our best-in-class PFAS workflow solutions to grow our market-leading position. We continue to capitalize on the strong demand for PFAS testing that we are seeing globally. Our 6495 triple quad LC/MS is the most complete instrument in the PFAS testing market with a specific performance edge in small and fragile molecules where many of the emerging PFAS exist. Along with our new offerings in PFAS-specific consumables and our workflow-deployment services, Agilent provides the fastest, highest-quality and most reliable way for customers to add or expand PFAS testing capabilities in their labs.

Now looking across all end markets, PFAS grew 70 percent in the quarter, contributing 75 basis points of growth to the company.

Pharma was flat during the quarter, with low-single digit growth ex-China offset by a high-single digit decline in China. Globally BioPharma and Small Molecule performed roughly in line with the overall market.

In Chemical and Advanced Materials, revenue declined 2 percent with growth ex-China offset by a high-teens decline in China, which was mostly impacted by the timing of the Lunar New Year.

Our business in the Diagnostics and Clinical end market grew 7 percent, led by strong results in the Americas and Europe.

Academia and Government, our smallest market, saw a decline of 7 percent, with soft results around the globe.

Now moving on to our regional performance, the Americas grew 3 percent, Europe grew 2 percent, and Asia ex-China grew 2 percent, all slightly ahead of expectations.

China revenue declined 4 percent, also better than expectations, on the strength of our stimulus performance.

For your models, we estimate that Lunar New Year was a 10-million-dollar revenue headwind in the quarter, which we expect to come back in the second quarter. This compares to a 25-million-dollar favorable Lunar New Year impact in the first quarter of last year, so combined a 2-percentage point year-on-year impact.

Now let's move on to the rest of the P&L.

Gross margin was 54.7 percent in the quarter — down versus last year primarily due to mix, currency and the Lunar New Year timing.

We drove operating margins of 25.1 percent, roughly in line with our expectations, despite currency headwinds. While down versus last year, we expect improvement throughout the year as the results of our Ignite Transformation continue to deliver.

And below the line, our net interest expense was better than expected as was our tax rate of 12.5 percent. And we had 287 million diluted shares outstanding in the quarter.

Putting it all together, Q1 earnings per share were $1.31. That was ahead of our expectations and up 2 percent from a year ago, growing slightly faster than revenue.

Now let me turn to cash flow and the balance sheet.

We continue to enjoy a very strong balance sheet and healthy cash flows. Operating cash flow was 431 million dollars in the quarter, and we invested 97 million dollars in capital expenditures.

We purchased 90 million dollars in shares and paid out 71 million dollars through dividends during the quarter. And we ended the quarter with a net leverage ratio of 1.0.

In summary, we had a good start to the year, and expect continued steady improvement in the market through the year.

Now, let's move on to our outlook for the fiscal year and the second quarter.

While we exceeded core growth expectations for Q1, we are maintaining our core growth guidance of 2.5 to 3.5 percent for the year. This guidance incorporates an element of prudence reflecting the uncertainty over the U.S. federal funding environment, even though it is a small part of our business.

However, we are adjusting our full year reported revenue to be in the range of 6.68 to 6.76 billion dollars to reflect the strengthening of the U.S. dollar.

If you recall our initial guidance back in November incorporated only a very modest FX headwind. Since then, the U.S. dollar has appreciated and based on current exchange rates, we are now projecting an incremental 110 million dollars in currency headwinds relative to our prior guidance. Currency is now expected to represent a 1.9 percent headwind for the year versus a prior 20-basis-point headwind. We also have left our M&A guidance unchanged at plus 2.0 to 2.2 percent revenue impact for the year.

Full-year, non-GAAP earnings per share are unchanged at $5.54 to $5.61, representing an increase of 4.7 to 6.0 percent. Relative to our prior guide, currency net of hedging, is an estimated additional 9-cent headwind for the year — which we are covering. This assumes flat other income and expense, a 12.5 percent tax rate, and 286 million diluted shares outstanding.

Now for the second quarter, we are guiding to revenue of 1.61 to 1.65 billion dollars. This range is a bit wider than we typically use for the upcoming quarter, reflecting the uncertainty around U.S. federal-government spending. This range represents an increase of 2.5 to 5.0 percent growth on a core basis and an increase of 2.4 to 4.9 percent growth on a reported basis. Currency is a 2.1 percent headwind, and M&A impact is expected to be a 2-percent benefit for the quarter.

Second-quarter non-GAAP earnings per share are expected to be between $1.25 and $1.28, representing growth of 2.5 to 4.9 percent. Year-on-year currency net of hedging is expected to be a 2-cent headwind to EPS.

Now, I would like to turn the call over back to Padraig for closing comments.

Padraig?

## Padraig McDonnell, President and CEO

Thanks, Bob.

Before we end the call, I want to take this opportunity to highlight more of the Agilent team's tremendous work.

This quarter, the World Economic Forum named our factories in Shanghai, China, and Penang, Malaysia, as Global Lighthouse Networks.

This recognizes Agilent for its breakthroughs in scaling AI, 3D printing, robotics, big-data analytics, and industrial internet of things. I was delighted to be able to accept those awards in person this year at the Forum in Davos, Switzerland.

Shanghai and Penang are two of four Agilent manufacturing sites that have earned this prestigious distinction. In 2022, the Forum named our Singapore and Waldbronn, Germany, sites as Lighthouses.

Still today, Agilent is the only analytical-and-clinical-laboratory-technology company in the world to be recognized by the World Economic Forum.

Also during the quarter, Newsweek ranked Agilent No. 10 out of 600 on its 2025 list of America's Most Responsible Companies — up seven places from 2024.

This is our sixth consecutive year on the prestigious list and is a recognition of Agilent being a leading sustainable lab partner to our customers.

We are proud to be among the U.S.-based companies who are making a positive global impact.

At Agilent, we're only at the start of our Ignite Transformation journey and already we're seeing early benefits like the ones I described at the start of this call.

In less than nine months, we've made incredible changes that are improving our customers' productivity in an era when the pace of science is faster than ever.

We're also becoming nimbler for our employees to better serve our customers.

The outcome we're enabling is faster decision-making so that we can accelerate innovation and create differentiated growth.

And that, in turn, leads to industry-leading shareholder value.

What we are doing at Agilent is turning a good company into a great one.

We are committed to continuous improvement and adapting to changing market dynamics.

Thank you for joining today's call.

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